The Global Volatility Pulse

Tech earnings strength vs. market skew

Tech's strong 2Q25 earnings and upward EPS revisions should help anchor the NVDA-led sell-off, despite seasonal headwinds and valuation concerns, favoring put spreads to hedge a shallow pullback while capitalizing on steep downside skew

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2Q25 earnings lessons suggest no reason to panic yet over Tech: Tech's 2Q25 earnings season delivered strong results (2Q25 Earnings Learnings: A tariff-ic season), with the magnitude of 2Q25 positive earnings moves being the largest vs negative in two years. While NVDA's post-earnings decline catalyzed a broader sell-off, its fundamentals remain intact, supported by AI infrastructure leadership and product innovation (Networking Shines as China Remains Unresolved). The post earnings cumulative loss, so far, of ~6% is modest vs the past two years, suggesting the reaction is contained. Seasonal caution and valuation concerns may be contributing to weakness, but a solid earnings outlook for Tech, which drove upward revisions to FY25 EPS, should provide a floor to the current sell-off. For investors expecting a contained pullback, steep skew favors buying put spreads to hedge downside. In particular, 2m 25-delta normalized skew on QQQ has been steeper only 2% of the time in the past two years, and its the third steepest across a universe of 60 ETFs spanning four asset classes. QQQ Dec25 555/500 put spreads costs indicatively 1.8%, and offer a cost-effective hedge with a 5.4-to-1 payout.

Charts of the Week:

- French election risks pick up?: Déjà vu, but not quite
- Reports of VIX futures complacency are greatly exaggerated
- Gold's breakout is justified by fundamentals
- Equity euphoria rises as summer comes to an end
- Seasonality calls for caution
- SXEP vols near 5y lows as index stuck in a historically tight trading range
- Earnings wrap up with elevated realised moves, biased to the downside

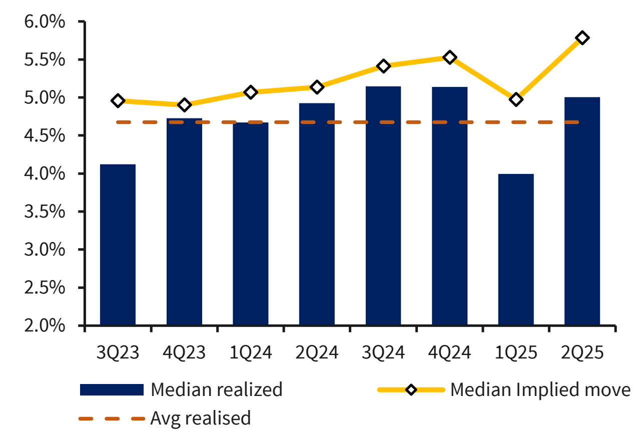
Click here for the full list of our trade recommendations.

2Q25 earnings lessons suggest no reason to panic yet over Tech

A high bar for surprises: 2Q25 earnings season was seen by many as potentially offering valuable insights into how badly tariff-exposed firms were being hurt by higher tariffs and sign of resilience among domestically exposed. Indeed, at the start of the season options were on average implying an earnings-related move of 5.8%, by a large margin the largest implied move vs the past 2y (Figure 1). As a result, while stocks posted relatively large moves (5.0% vs 4.7% historical average realized move), they still came in below expectations, in terms of magnitude. This is hardly surprising, as NLP analysis of earnings transcripts suggests that while still elevated, tariff concerns are fading (2Q25 Earnings Learnings: A tariff-ic season).

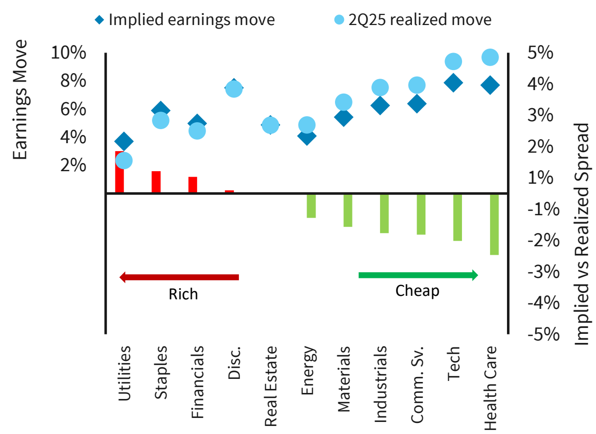
At the sector level: Health Care and Tech posted the largest moves vs what was implied at the start of earnings season (Figure 2). Drilling down further, the magnitude of positive price moves vs negative for Tech names has been the largest in 2yrs (Figure 3). This is in line with Barclays strategists' note that Tech (and Financials) continue to lead EPS growth, margin expansion, and operating leverage (2Q25 Earnings Learnings: A tariff-ic season).

FIGURE 1. **While equities posted larger than average moves in 2Q25, the bar to beat option markets expectations proved to be too high**



Source: Bloomberg, Barclays Derivatives Research

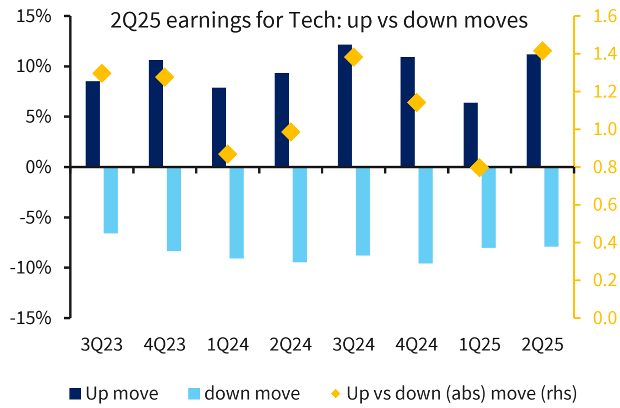
FIGURE 2. **Implied moves for HC & Tech turned out to be the cheapest vs the ex-post realized moves; the opposite was true for Utilities, and Staples**



Source: Bloomberg, Barclays Derivatives Research

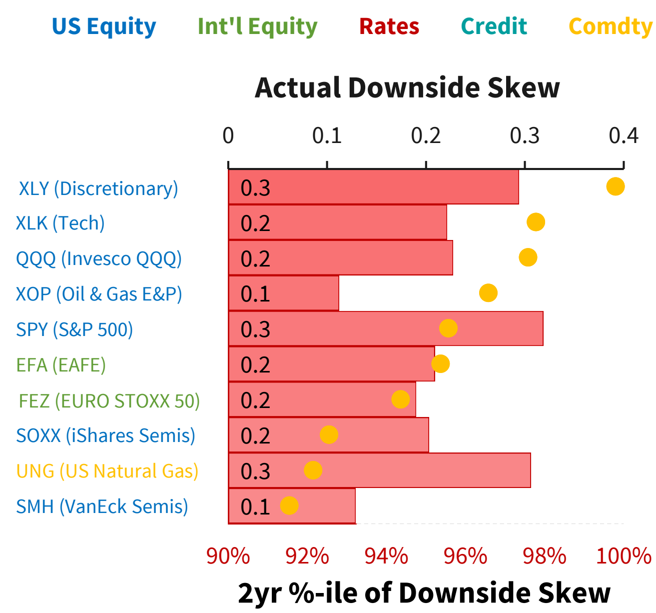
Tech has led the current sell-off in US equities, in spite of positive earnings results. Importantly, NVDA earnings on 27- Aug (aft-mkt) appear to have catalyzed the sell-off. For instance, since then, NVDA has contributed to more than half (54%) the overall sell-off in the S&P. Importantly, Barclays analysts remain Overweight, citing its dominant position in AI infrastructure and strong momentum in networking and gaming. While China remains unresolved, the broader AI build-out and product innovation (e.g., Spectrum-XGS) support long-term growth (see Networking Shines as China Remains Unresolved). Indeed, while the stock has closed down for every single trading session since 2Q25 earnings were announced, the cumulative loss of ~6% hardly stands out (4th largest loss in the past 2y). This suggests that for now the earnings reaction is contained.

FIGURE 3. Magnitude of 2Q25 positive moves for Tech was the largest vs negative moves in two years



Source: Bloomberg, Barclays Derivatives Research

FIGURE 4. Downside skew on QQQ has been steeper less than 2% of the times in the past 2y, among the steepest vs a universe of 60 ETFs with liquid options*



*Please see 'ETF Compass' in Barclays Live for the full list
Source: Bloomberg, Barclays Derivatives Research

While we think seasonality (Figure 12) as well as concerns around overextended valuations (see 2Q25 Earnings Learnings: A tariff-ic season) may be conspiring toward the recent weakness, the strong outlook for Tech should provide a floor to the current sell-off. For instance, consider that Street FY25 has bounced to $268 from $264 at June end, with the add-back coming from Tech (and Financials) as beat-and-raises flow through to full year estimates.

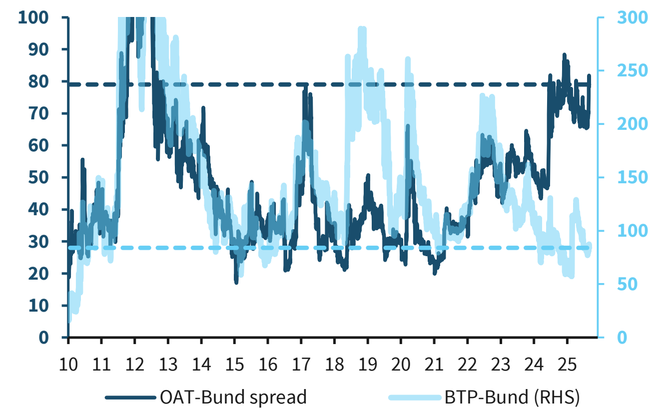
For investors who believe the current Tech-led sell-off will stay relatively well contained, we reiterate our recent recommended S&P put spreads (see U.S. Equity skew: steep and widespread). Indeed, looking at a universe of 60 global ETFs spanning four asset classes, we note that US equity ETFs dominate the expensive downside skew (Figure 4). In particular, QQQ downside skew is in the 98th %-ile over the past two years, one of top 3 steepest skew in our universe of 60 ETFs. For instance, buying QQQ Dec25 555/500 put spreads (+/-) (ref., 565.62, 38/15-delta) costs indicatively 1.8%, providing a 5.4 -to-1 max expiry payout ratio.

Charts of the Week

French election risks pick up?: **Déjà vu, but not quite**

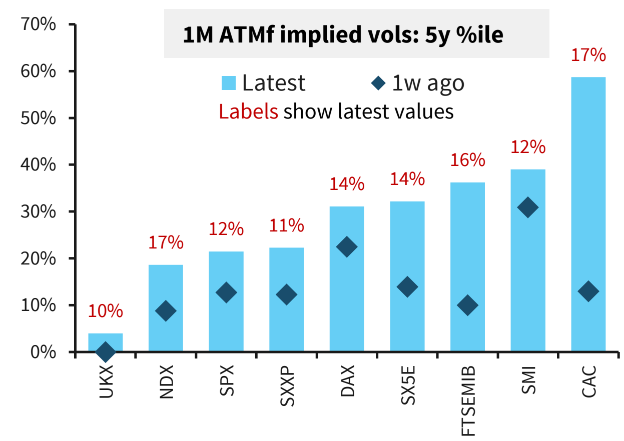
Following Prime Minister Bayrou's announcement of a no-confidence vote scheduled for September 8, markets have begun to reprice political risk in France. While the announcement hasn't triggered the same scale of volatility as the 2024 snap elections, signs of stress are emerging. OAT-Bund spreads have widened back to ~80bps, levels last seen during the prior election cycle, and implied vols on EU indices, particularly CAC, have started to rise. In contrast, UKX vols remain near historical lows.

FIGURE 5. French bond yields (10yr OATs) have widened to ~80bps vs Bunds, levels last seen around the 2024 snap elections



Source: Bloomberg, Barclays Derivatives Research

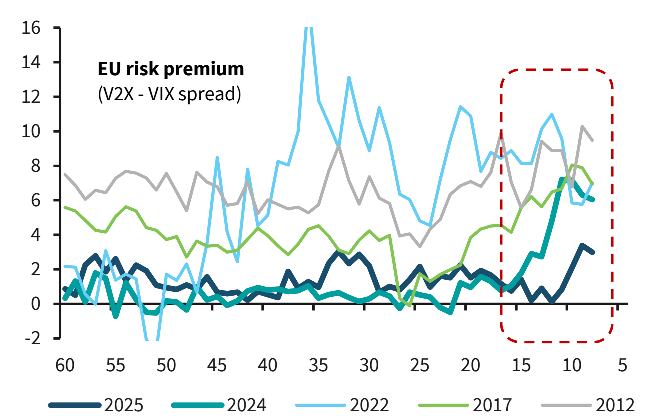
FIGURE 6. EU equity vols have risen visibly, especially CAC, while UK vols are still considerably lower



Source: Bloomberg, Barclays Derivatives Research

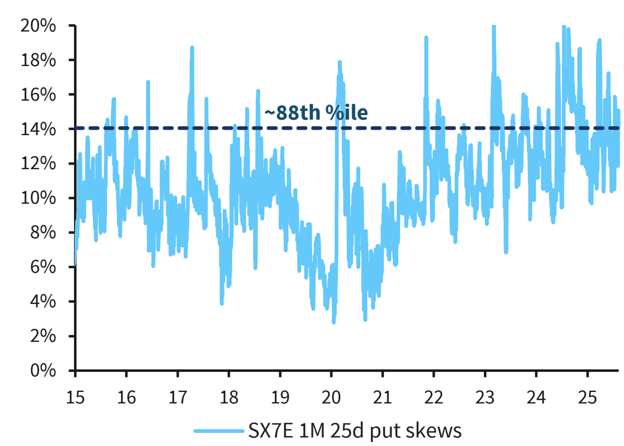
Given the increased uncertainty, the V2X-VIX spread has picked up as well, though still lags the magnitude of past French election cycles, given the limited likelihood of complete elections. While not our base case, the risk of Bayrou dissolving the National Assembly — or in a tail scenario, stepping down and triggering a presidential election — could drive a sharper repricing. With EU vols still not too expensive, owning SX5E put spreads as a cost-effective hedge might make sense. Furthermore, given French banks' (and by extension, SX7E's) sensitivity to both political risk and OAT-Bund widening, investors may also consider SX7E put spreads, where steep skews offer attractive pricing.

FIGURE 7. EU vols have begun to build a premium vs US, but still not as high as past French elections



Source: Bloomberg, Barclays Derivatives Research

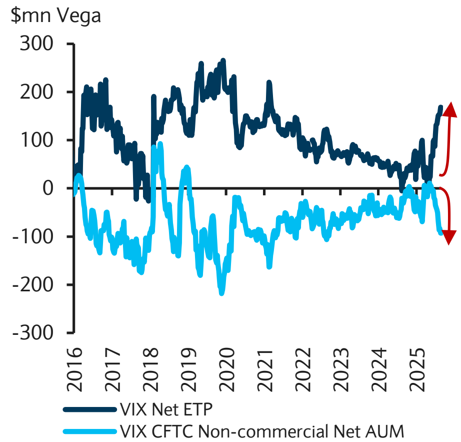
FIGURE 8. SX7E put skews are trading quite elevated compared to the last 10 years



Source: Bloomberg, Barclays Derivatives Research

Reports of VIX futures complacency are greatly exaggerated

FIGURE 9. The rise in net short positioning in VIX futures by the non-commercial VIX futures was mirrored by the large increase in net AUM for VIX ETPs, thus tempering 'short volatility bet' fears

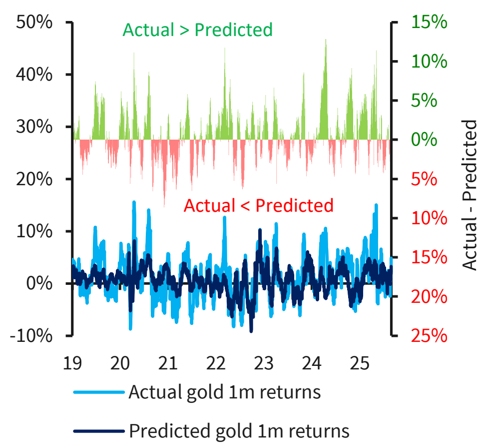


Net short positioning in VIX futures by non-commercial traders has reached its highest level in three years. In some corners, this has sparked concerns about investors becoming overly confident. However, it's important to recognize that this increase in short positioning has been mirrored by a significant rise in net AUM of long VIX ETPs. In other words, non-commercial VIX futures traders have increased their short exposure as a function of supplying volatility to the long VIX ETP complex.

*See Retail Investors Pile into U.S. Equities
Source: Bloomberg, Barclays Derivatives Research

Gold's breakout is justified by fundamentals

FIGURE 10. The latest rally in gold exactly matches the predicted returns based on USD/real rates moves



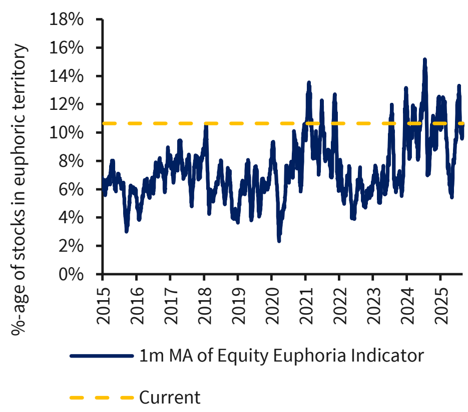
Gold has recently rallied, breaking out of its summer trading range from below. A model based on real rates and the USD suggests this move is well-supported by fundamental drivers.

This implies that beyond these factors, it's less clear whether concerns over the Fed's independence or renewed geopolitical risks have materially contributed to the rally.

Source: Bloomberg, Barclays Derivatives Research

Equity euphoria rises as summer comes to an end

FIGURE 11. The Barclays Equity Euphoria Indicator (EEI) inches higher, on cue with seasonal trends

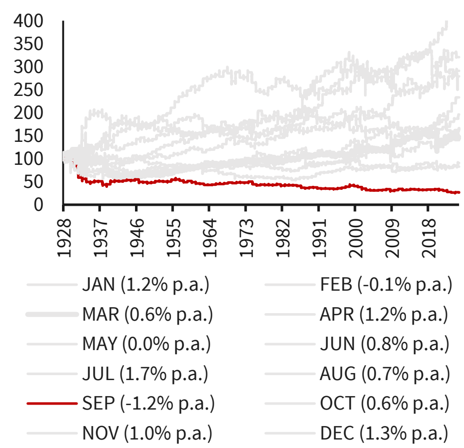


The Barclays Equity Euphoria Indicator (EEI) has averaged 10.6% over the past month. While this remains below the late-July peak of ~13%, it marks the highest level since early August. Interestingly, EEI has historically tended to bottom in August and recover in September. This seasonal pattern suggests that the recent uptick could gain momentum in the coming weeks.

Source: Bloomberg, Barclays Derivatives Research

Seasonality calls for caution

FIGURE 12. Cumulative S&P returns over the past 90+yrs suggests September is the worst month



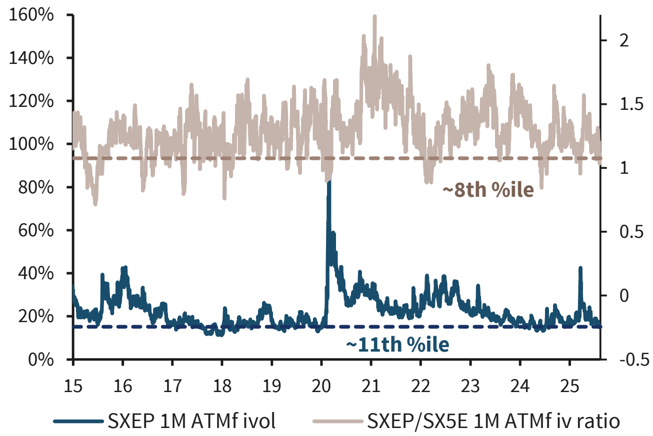
While October is famed for witnessing the highest equity volatility in the year (partly because of some well-known market crashes, including in 1929 and 1987), it is September when equities perform the worst. Indeed, a strategy that invested only in the month of September would have lost on average 1.2% p.a. over the past 90+yrs. Notably, investing in any other month would have produced positive or flattish returns at worst.

Source: Bloomberg, Barclays Derivatives Research

SXEP vols near 5y lows as index stuck in a historically tight trading range

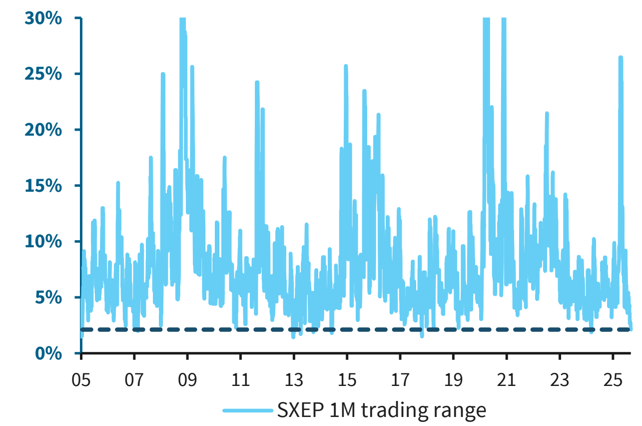
Despite material geopolitical volatility (in terms of Trump-Putin negotiations, Iran and E3 meeting), SXEP implied vols have fallen to near 10y lows, in absolute terms as well as relative to broader EU equities (SX5E). This is largely in line with the index itself trading in one of the tightest 1M ranges in more than two decades. Consequently, options are pricing attractively to take directional exposure on either side. Our Oil analysts remain constructive on Oil and positioning is still depressed for both Energy as well as Oil (see Energy Sigma and Who Owns What), making call spreads on the index interesting for risk-limited upside exposure amid persistent geopolitical risks as well as equities trading near all-time highs.

FIGURE 13. SXEP implied vols are trading near 5y lows, by themselves as well as vs broader EU equities...



Source: Bloomberg, Barclays Derivatives Research

FIGURE 14. ...as the index trades in one of the narrowest 1M ranges in over two decades



Source: Bloomberg, Barclays Derivatives Research

Earnings wrap up with elevated realised moves, biased to the downside

With more than 95% of European single names having reported Q2 earnings, focus is likely to have shifted back to macro, including geopolitics, growth, and rate cut headlines. A few things that stand out from this earnings season are:

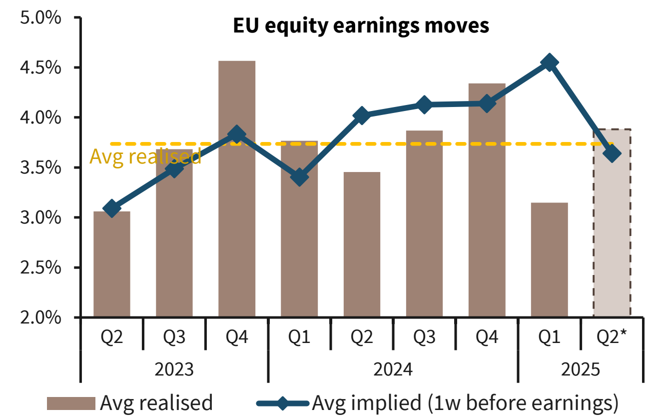
1) **Large earnings moves...** Earnings realised moves were near 4% (vs ~3.7% in the last 2y, Figure 15), in contrast to relatively lower implied moves going into the announcements.

2) ...partly owing to **2y highs in proportion of tail moves:** The outsized realised moves were partly driven by a significant share of tail events (>90th percentile, Figure 16), which were near highest in 2 years.

3) **Tech/Staples led the way:** Among sectors, Tech and Staples single names saw the largest realised moves as well as biggest gaps to implied moves (Figure 17), after having given among the better earnings beats in Cyclicals and Defensives respectively (see Learnings from Q2 earnings). On the other hand, Materials and Utilities lagged the implied moves the most.

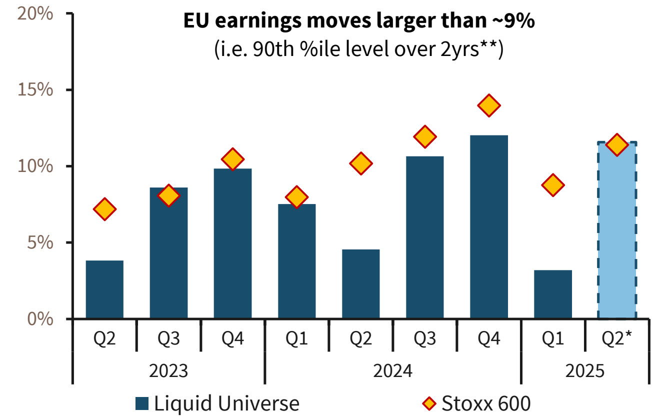
4) **Earnings reactions were more bearishly skewed,** with EPS misses penalised more severely than beats have been rewarded (see Learnings from Q2 earnings), contributing to the 2y lows in the proportion of positive earnings day moves in over 2 years.

FIGURE 15. Single names realised above avg moves, despite relatively lower implied moves pre-earnings



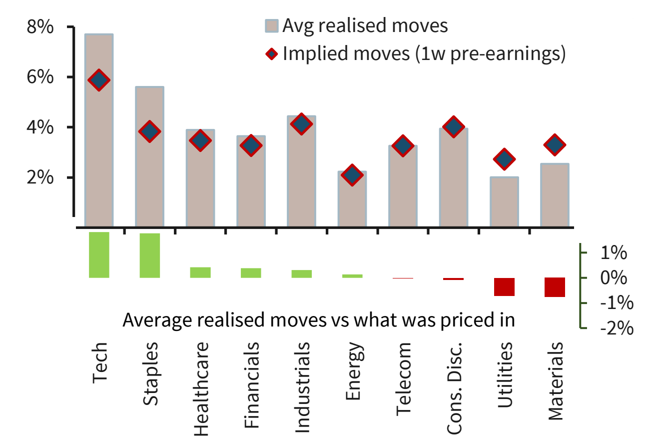
Source: Bloomberg, Barclays Derivatives Research

FIGURE 16. The larger realised moves were arguably led by near 2y highs in the proportion of tail moves



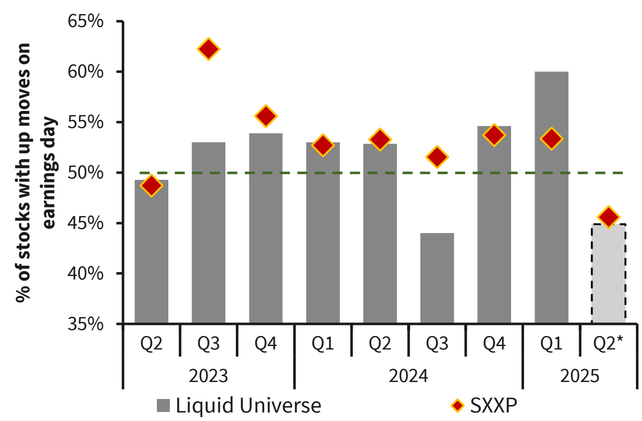
Source: Bloomberg, Barclays Derivatives Research

FIGURE 17. Tech/Staples witnessed the largest moves, while Materials/Utils lagged implied moves the most



Source: Bloomberg, Barclays Derivatives Research

FIGURE 18. Realised moves were biased downwards, with misses punished more and beats rewarded less



Source: Bloomberg, Barclays Derivatives Research

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Materially Mentioned Stocks (Ticker, Date, Price)
NVIDIA Corp. (NVDA, 02-Sep-2025, USD 170.78), Overweight/Neutral, CD/CE/J/K/M

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Equal Weight - The stock is expected to perform in line with the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

Underweight - The stock is expected to underperform the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

Rating Suspended - The rating and target price have been suspended temporarily due to market events that made coverage impracticable or to comply with applicable regulations and/or firm policies in certain circumstances including where the Investment Bank of Barclays Bank PLC is acting in an advisory capacity in a merger or strategic transaction involving the company.

Industry View
Positive - industry coverage universe fundamentals/valuations are improving.

Neutral - industry coverage universe fundamentals/valuations are steady, neither improving nor deteriorating.

Negative - industry coverage universe fundamentals/valuations are deteriorating.

Below is the list of companies that constitute the "industry coverage universe":

U.S. Semiconductors & Semiconductor Capital Equipment

Advanced Micro Devices (AMD)	Allegro Microsystems (ALGM)	Analog Devices (ADI)
Applied Materials Inc. (AMAT)	Arm Holdings plc (ARM)	Astera Labs, Inc. (ALAB)
Broadcom Inc. (AVGO)	Camtek (CAMT)	Cirrus Logic Inc. (CRUS)
Coherent Corp. (COHR)	Credo Technology Group (CRDO)	Intel Corp. (INTC)
KLA Corporation (KLAC)	Lam Research Corporation (LRCX)	Lumentum Holdings Inc. (LITE)
MACOM Technology Solutions Holdings, Inc. (MTSI)	Marvell Technology Group, Ltd. (MRVL)	Micron Technology, Inc. (MU)
NVIDIA Corp. (NVDA)	NXP Semiconductors NV (NXPI)	Penguin Solutions (PENG)
Qorvo Inc. (QRVO)	QUALCOMM, Inc. (QCOM)	Sandisk Corporation (SNDK)
Seagate Technology plc (STX)	Silicon Laboratories, Inc. (SLAB)	SiTime Corporation (SITM)
Skyworks Solutions, Inc. (SWKS)	Synaptics Incorporated (SYNA)	Texas Instruments, Inc. (TXN)
Veeco Instruments Inc (VECO)	Western Digital Corporation (WDC)	

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Barclays Equity Research has 1787 companies under coverage.

48% have been assigned an Overweight rating which, for purposes of mandatory regulatory disclosures, is classified as a Buy rating; 54% of companies with this rating are investment banking clients of the Firm; 70% of the issuers with this rating have received financial services from the Firm.

36% have been assigned an Equal Weight rating which, for purposes of mandatory regulatory disclosures, is classified as a Hold rating; 48% of companies with this rating are investment banking clients of the Firm; 66% of the issuers with this rating have received financial services from the Firm.

14% have been assigned an Underweight rating which, for purposes of mandatory regulatory disclosures, is classified as a Sell rating; 34% of companies with this rating are investment banking clients of the Firm; 56% of the issuers with this rating have received financial services from the Firm.

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NVIDIA Corp. (NVDA / NVDA)

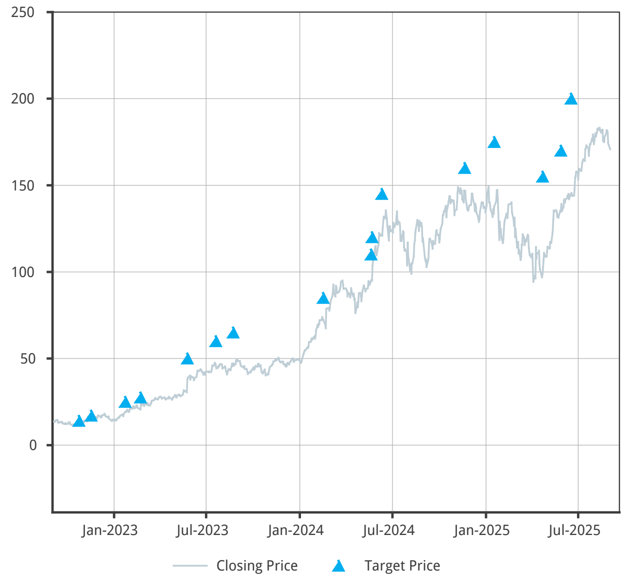
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 170.78** (02-Sep-2025)

Rating and Price Target Chart - USD (as of 02-Sep-2025)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
17-Jun-2025	144.69		200.00
28-May-2025	134.81		170.00
22-Apr-2025	96.91		155.00
17-Jan-2025	133.57		175.00
20-Nov-2024	145.89		160.00
10-Jun-2024	1208.88		145.00
22-May-2024	95.39		120.00
20-May-2024	92.48		110.00
16-Feb-2024	72.61		85.00
23-Aug-2023	47.12		65.00
20-Jul-2023	45.52		60.00
25-May-2023	37.98		50.00
22-Feb-2023	20.75		27.50
23-Jan-2023	19.19		25.00
17-Nov-2022	15.68		17.00
24-Oct-2022	12.60		14.00

On 02-Sep-2022, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 19.00.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

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Valuation Methodology: Our price target of $200 is based upon 29x our CY26E non-GAAP EPS of $6.93.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to the downside include a slower ramp in GPUs for AI in the DC, slower recovery in the gaming market, a slower Auto ramp and slower GM improvement.

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